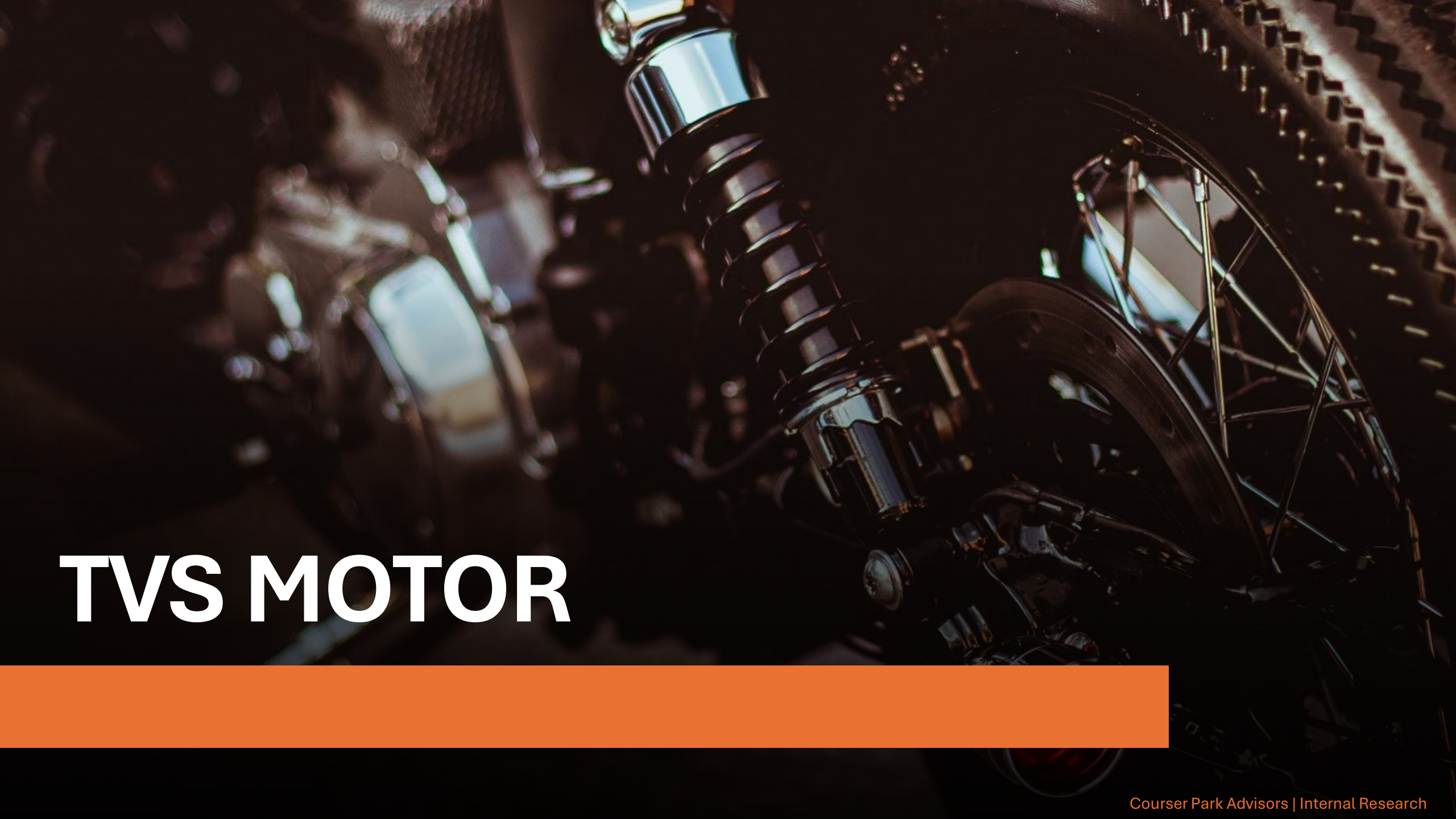




TVS MOTOR

Thesis

- The two wheeler industry is undergoing premiumization, and value migration towards EVs. The flattish overall industry growth over the last six years masks the strong growth in 125cc+ motorcycles, Scooters and Exports. TVS has been gaining market share in overall 2W market in India.
- Leaders in both motorcycles (Hero) and scooters (Honda) have been steadily losing market share over the last five years and TVS has been a beneficiary of that. TVS is the fourth largest player in domestic motorcycles, second largest in overall Scooters segment (leader in EV segment along with Bajaj Auto and OLA). It is the second largest player in 2W Exports.
- The company has performed the best over the last 3 years and 5 years window compared to other 2W peers. Even during weaker years of FY20 and FY21, the company has grown sales in-line with competitors but operating profit has grown faster.
- Export seems to be impacted by Africa weakness – mainly due to Nigeria’s currency devaluation and inflation. It has performed better than the leader, despite being a smaller player by significant margin. It is looking to expand into newer geographies and add new products to further derisk the segment.
- Losses at Subsidiaries’ level are mainly due to foreign subsidiaries, with Norton and Swiss E-mobility being the main drags. Post the sale of SAC, TVS Credit is the only major Indian subsidiary left. This NBFC has been compounding its book value at 25%+ for the last 6 years and has enough headroom given the smaller size of the book, although the growth has slowed down in 9MFY25 to single digits.
- The 2W recovery has been underway for the last 2-3 years and we are midway through the cycle with valuation rerating seen for all players. TVS is at its peak margins historically and continues to guide for improvement in coming quarters. Industry leading growth, recovery in exports and improving margin trajectory over the near to medium term is our base case, as far as business performance is concerned. Rate cuts and income-tax relief should help in the coming years.
- We value TVS Credit at a discount to Sundaram Finance due to slower growth in 9MFY25. For the purposes of valuation, we ignore all other subsidiaries as they are still in investment phase.
- Considering standalone entity valuations on the basis of peers, its own history as well as adjustments for TVS Credit, we believe 1800-1900 should be a good range to add for 20% IRR over medium term.
- **Key Risks:** Slowdown in India 2W, Worsening of Africa Market, EV Regulations

2W Industry

Industry (Mn Units)	FY19	FY20	FY21	FY22	FY23	FY24	FY25E	FY19-25	FY19-22	FY22-25
Domestic ICE 2Ws	21.2	17.4	15.1	13.5	15.5	17.5	19.4	-1.5%	-14.0%	12.8%
Motorcycles	13.6	11.2	10.0	9.0	10.2	11.7	12.6	-1.3%	-12.9%	11.9%
Economy Motorcycles	3.9	3.3	2.6	2.1	1.9	2.1	2.0	-10.5%	-18.6%	-1.6%
Executive Motorcycles	4.5	3.1	2.8	2.8	3.4	3.6	3.9	-2.4%	-14.6%	11.7%
Executive Motorcycles - 125cc	1.9	2.4	2.4	2.2	2.6	3.2	3.6	11.2%	5.0%	17.8%
Premium Motorcycles	3.2	2.5	2.2	1.8	2.3	2.8	3.1	-0.5%	-17.5%	19.9%
Scooters	6.7	5.6	4.5	4.1	5.3	6.2	7.4	1.7%	-15.1%	21.8%
ICE	6.7	5.6	4.5	4.0	4.9	5.4	6.3	-1.0%	-15.8%	16.3%
EV				0.1	0.5	0.8	1.1	122.4%		122.4%
Mopeds	0.9	0.7	0.6	0.5	0.4	0.5	0.5	-9.3%	-17.8%	0.0%
Total Domestic 2Ws	21.2	17.4	15.1	13.6	16.0	18.3	20.5	-0.6%	-13.8%	14.7%
Export 2Ws	3.3	3.5	3.3	4.4	3.7	3.5	4.0	3.3%	10.1%	-3.1%
Total 2W	24.5	20.9	18.4	18.0	19.7	21.8	24.5	0.0%	-9.8%	10.8%

Industry Growth	FY19	FY20	FY21	FY22	FY23	FY24	FY25E
Domestic ICE 2Ws		-17.9%	-13.2%	-10.6%	14.8%	12.9%	10.9%
Motorcycles		-17.6%	-10.7%	-10.0%	13.3%	14.7%	7.7%
Economy Motorcycles		-15.4%	-21.2%	-19.2%	-9.5%	10.5%	-4.8%
Executive Motorcycles		-31.1%	-9.7%	0.0%	21.4%	5.9%	8.3%
Executive Motorcycles - 125cc		26.3%	0.0%	-8.3%	18.2%	23.1%	12.5%
Premium Motorcycles		-21.9%	-12.0%	-18.2%	27.8%	21.7%	10.7%
Scooters		-16.4%	-19.6%	-8.9%	29.3%	17.0%	19.4%
ICE		-16.4%	-19.6%	-11.1%	22.5%	10.2%	16.7%
EV			796.0%	5403.0%	258.0%	66.0%	42.0%
Mopeds		-22.2%	-14.3%	-16.7%	-20.0%	25.0%	0.0%
Total Domestic 2Ws		-17.9%	-13.2%	-9.9%	17.6%	14.4%	12.0%
Export 2Ws		6.1%	-5.7%	33.3%	-15.9%	-5.4%	14.3%
Total 2W		-14.7%	-12.0%	-2.2%	9.4%	10.7%	12.4%

- Domestic ICE 2W segment (Motorcycle and Scooters), both is yet to reach its FY19 peak. Industry has bottomed out in FY22.
- Within Motorcycles, *Executive Motorcycles – 125 cc* has performed the best followed by *Premium* segment. The former has grown even when domestic industry was declining in FY19-22. *Premium* fell more than the industry but has come back stronger than rest three segments.
- Economy* and *Executive below 125cc* are yet to breach their previous peaks with the former degrowing even in the recovery phase of FY22-25.
- Scooter* segment fell more than Motorcycles but has recovered faster, mainly driven by EVs. Scooter ICE has grown faster than *Economy* and *Executive below 125cc*. *EV Scooter* seems to have taken market share from lower segments of *Motorcycles*.
- Export* grew well when *Domestic* was declining and has degrown when Domestic recovered. *It seems to have bottomed out in FY24*.
- In a nutshell, Industry growth is likely to be driven by Scooters, 125cc+ motorcycles and Exports.

TVS: 125cc Fastest growing segment

Fig. 5: Industry and TVSL cc-wise mix

Volumes ('000)	FY20	FY21	FY22	FY23	FY24	1QFY25	2QFY25	3QFY25
Industry volumes								
75 to 110cc	6,372	5,387	4,968	5,236	5,651	1,503	1,503	1,428
110-125cc	2,369	2,423	2,202	2,687	3,195	914	964	886
125-200cc	1,682	1,500	1,160	1,454	1,746	509	465	418
>200cc	791	712	654	854	1,062	272	277	303
Total	11,214	10,021	8,984	10,231	11,653	3,198	3,210	3,035
Mix								
75 to 110cc	57%	54%	55%	51%	48%	47%	47%	47%
110-125cc	21%	24%	25%	26%	27%	29%	30%	29%
125-200cc	15%	15%	13%	14%	15%	16%	14%	14%
>200cc	7%	7%	7%	8%	9%	8%	9%	10%
TVSL volumes								
75 to 110cc	355	299	301	318	344	74	103	86
110-125cc	33	-	77	239	478	118	95	100
125-200cc	365	326	326	349	378	121	102	107
>200cc	2	3	5	4	24	7	8	11
Total	755	628	708	910	1,224	319	308	303
TVSL Mix								
75 to 110cc	47%	48%	42%	35%	28%	23%	34%	28%
110-125cc	4%	0%	11%	26%	39%	37%	31%	33%
125-200cc	48%	52%	46%	38%	31%	38%	33%	35%
>200cc	0%	1%	1%	0%	2%	2%	2%	4%

Source: SIAM, Nomura research

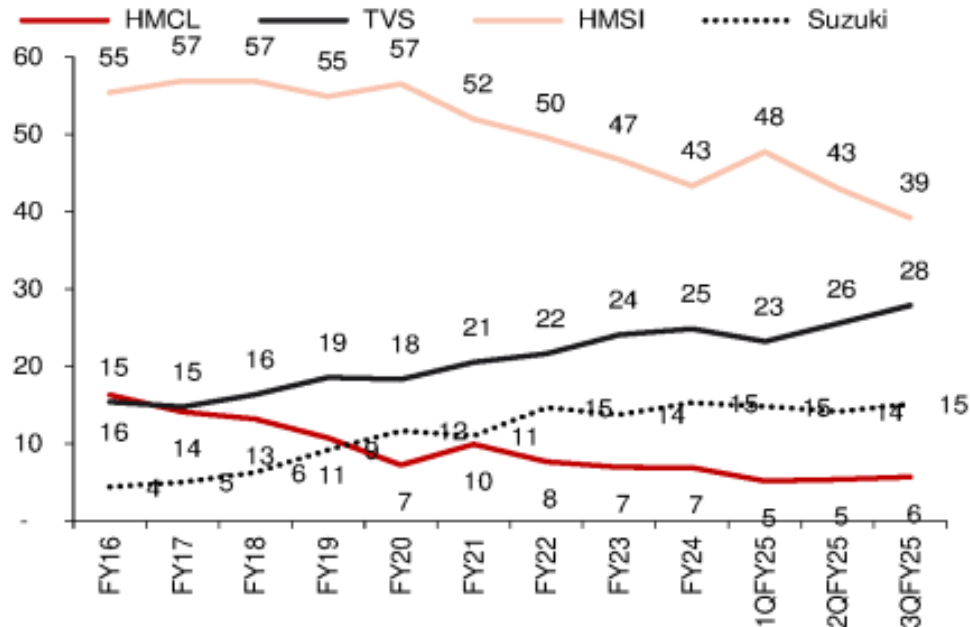
Fig. 4: CC-wise market share of peers

Market share	FY21	FY22	FY23	FY24	Q1FY25	Q2FY25	Q3FY25
BJAUT							
75-110cc	14%	15%	11%	10%	8%	9%	10%
110-125cc	19%	21%	25%	27%	25%	21%	21%
125-200cc	33%	28%	29%	32%	29%	29%	24%
>200cc	15%	12%	8%	12%	14%	27%	24%
Total volumes	18%	18%	17%	18%	17%	17%	17%
TVS							
75-110cc	6%	6%	6%	6%	5%	7%	6%
110-125cc	0%	3%	9%	15%	13%	10%	11%
125-200cc	22%	28%	24%	22%	24%	22%	26%
>200cc	0%	1%	1%	2%	2%	3%	4%
Total volumes	6%	8%	9%	11%	10%	10%	10%
HMCL							
75-110cc	76%	75%	80%	78%	79%	76%	77%
110-125cc	40%	26%	21%	16%	20%	20%	21%
125-200cc	6%	6%	5%	4%	3%	3%	3%
>200cc	0%	0%	0%	4%	3%	2%	1%
Total volumes	51%	48%	47%	43%	44%	42%	43%
Honda							
75-110cc	5%	4%	3%	6%	7%	8%	7%
110-125cc	41%	50%	45%	41%	42%	46%	42%
125-200cc	19%	13%	14%	17%	22%	24%	25%
>200cc	3%	5%	4%	4%	4%	3%	4%
Total volumes	15%	16%	16%	17%	19%	21%	19%

TVS Raider seems to be doing very well in the 125cc segment.

TVS : Gaining MS in Scooters

Fig. 6: Scooter market share trend



Source: SIAM, Nomura research

- In Scooters, Honda and Hero Moto are losing market share.
- TVS is the second largest player in the segment.
- In EVs, OLA has lost 27% MS since April 2024, mainly gained by Bajaj Auto and TVS Motors.

EV Market share (%)	Feb-24	Mar-24	Apr-24	May-24	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25
Ola Electric	41.2	38.2	52.1	48.3	46.1	38.8	31.0	27.4	29.9	24.5	18.6	24.9
TVS Motor	17.7	19.0	11.8	15.3	17.5	18.3	19.8	20.2	21.5	22.7	23.5	24.3
Ather Energy	11.0	12.4	6.3	8.0	7.8	9.5	12.4	14.3	11.6	10.9	14.2	13.2
Bajaj Auto	14.2	12.9	11.5	12.0	11.3	16.5	18.9	21.3	20.3	22.2	24.9	21.8
Hero MotoCorp	2.1	2.9	1.5	3.2	3.9	4.7	5.3	4.8	5.2	6.2	1.4	1.7

Benchmarking

Net Sales	FY15	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24
TVS SA	10042	11105	12135	15175	18210	16423	16751	20791	26378	31776
Hero SA	27585	28443	28500	32230	33651	28836	30801	29245	33806	37456
Bajaj SA	21612	22587	21767	25219	30358	29919	27741	33145	36428	44685
Eicher SA	3031	6186	7038	8958	9794	9077	8619	10123	14067	16078

EBITDA	FY15	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24
TVS SA	639	914	1030	1274	1441	1378	1462	1981	2775	3663
Hero SA	4020	4860	5108	5728	5495	4555	4502	3824	4427	5990
Bajaj SA	4699	5856	5644	6131	6631	6830	6205	6468	7731	10225
Eicher SA	850	1992	2433	3186	3452	2819	2239	2568	4033	5548

PAT	FY15	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24
TVS SA	348	489	558	663	670	592	612	894	1491	2083
Hero SA	2386	3160	3377	3697	3385	3633	2964	2473	2911	3968
Bajaj SA	2814	3930	3828	4068	4675	5100	4555	5019	5628	7479
Eicher SA	559	1309	1560	1713	2054	1904	1330	1586	2623	3749

CAGR		
3Y	5Y	9Y
24%	12%	14%
7%	2%	3%
17%	8%	8%
23%	10%	20%

CAGR		
3Y	5Y	9Y
36%	21%	21%
10%	2%	5%
18%	9%	9%
35%	10%	23%

CAGR		
3Y	5Y	9Y
50%	25%	22%
10%	3%	6%
18%	10%	11%
41%	13%	24%

Standalone (INR cr)	9MFY25 YoY
Revenue	
TVS	13.1%
Hero	10.3%
Bajaj	14.0%
Eicher	12.3%
EBITDA	
TVS	20.6%
Hero	14.3%
Bajaj	17.4%
Eicher	8.8%
PAT	
TVS	16.3%
Hero	14.9%
Bajaj	13.9%
Eicher	14.0%

- TVS has been the best performer across 3Y and 5Y window. On 3Y basis, Eicher Motor seems to be a close second. Only Hero MotoCorp bottom-line growth has accelerated in 9MFY25 compared to respective 3Y CAGRs.
- On 9MFY25 basis, TVS is a close second to Bajaj in terms of sales growth but is the best player on EBITDA and PAT growth parameters.
- FY20 and FY21 were weak years for all the four players. Except for Eicher, all the other 3 players had similar sales growth in that period. Eicher has slightly lower growth which can be attributed to the relatively higher discretionary nature of its product. EBITDA growth for TVS was the best during the period.
- Fundamental parameters such as return ratios and cash generation are decent for all the companies above. The key thing to watch out for is growth and market share.

Export Market

EMKAY - BAJAJAUTO (Units)	FY21	FY22	FY23	FY24	FY25E
Export 2Ws	17,96,518	21,95,772	16,36,956	14,77,338	16,98,939
YoY		22%	-25%	-10%	15%
Export 3Ws	2,57,729	3,10,854	1,84,284	1,58,872	1,87,469
YoY		21%	-41%	-14%	18%
Total	20,54,247	25,06,626	18,21,240	16,36,210	18,86,408
YoY		22%	-27%	-10%	15%

Mix					
Export 2Ws	87%	88%	90%	90%	90%
Export 3Ws	13%	12%	10%	10%	10%

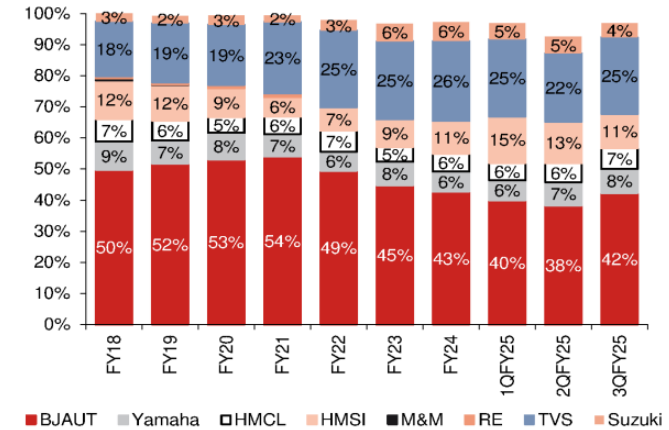
EMKAY - TVSM (Units)	FY21	FY22	FY23	FY24	FY25E
Export 2Ws	7,64,039	10,90,139	9,15,018	8,87,774	10,47,573
YoY		43%	-16%	-3%	18%
Export 3Ws	1,15,330	1,63,052	1,53,039	1,25,379	1,02,811
YoY		41%	-6%	-18%	-18%
Total	8,79,369	12,53,191	10,68,057	10,13,153	11,50,384
YoY		43%	-15%	-5%	14%

Mix					
Export 2Ws	87%	87%	86%	88%	91%
Export 3Ws	13%	13%	14%	12%	9%

Bajaj Export Volumes	Mix
Nigeria	25%
RoA	25%
LatAm	20%
SE Asia/ME	20%
ASEAN	10%

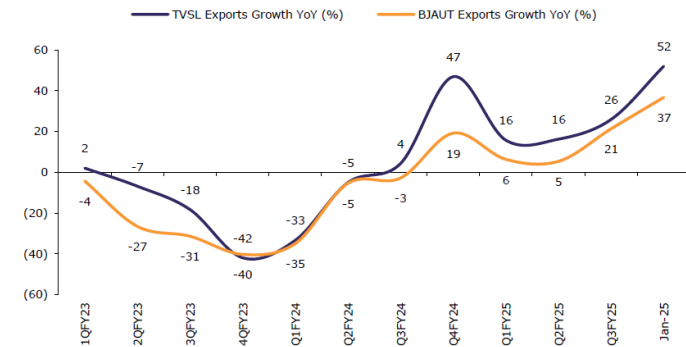
TVS Export Volumes	
Africa	55%
LatAM	15%

Fig. 9: India 2W exports mix



Source: SIAM, Nomura research

Exhibit 7: TVSL continues to outperform larger peer BJAUT in exports as well



Source: Company, Emkay Research; Note: FY25YTD till Dec-24

- TVS is the second largest player compared to Bajaj Auto in exports. As of Q3FY25, Bajaj Auto has 42% and TVS has 25% market share in Export 2W. For Export 3W, Bajaj has 65% and TVS has 30% MS.
- Both companies have high exposure to Africa – mainly Nigeria. Due to currency devaluation and inflation, Nigeria market has been impacted leading to degrowth in exports over FY23 and FY24. TVS has done better than Bajaj Auto over these two years of degrowth.
- TVS is looking to expand its portfolio range (e.g. HLX 125 5-gear motorcycle) as well as focusing on other geographies like LatAM, ASEAN and Middle East.

Valuation – IRR (Standalone Median PE)

CMP	2365											
Subs etc	200											
SA-CMP	2165											
S/O	47.5											
Mcap	112338											
Period	25-02-2025	31-03-2026	31-03-2027									
		1.1	2.1									
						FY27			EPS			
TVSM-SA	FY25E	FY26E	FY27E				27.2%	74	77	82	86	90
EPS	54.7	68.6	81.6				35	8.6%	11.3%	14.1%	16.8%	19.5%
YoY		25%	19%				40	15.8%	18.6%	21.6%	24.4%	27.4%
PE - SA		44	44			PE	45	22.5%	25.5%	28.6%	31.6%	34.7%
Target		3019	3589				50	28.8%	31.9%	35.2%	38.4%	41.6%
IRR		35.3%	27.2%				55	34.7%	38.1%	41.5%	44.8%	48.2%
Forward PE SA		31.6	26.5									

- We assumed standalone 5Y median PE of TVS Motor and adjusted the CMP with the value of subsidiary values (200).

SOTP Valuation – TVS Credit

RoE of TVS Credit	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
Book Value	750	989	1160	1104	1536	2385	3141
Total Assets	5599	7516	8694	10403	13024	19590	22783
PAT to TVS Motor	76	127	127	83	102	335	462
RoA	1.4%	1.7%	1.5%	0.8%	0.8%	1.7%	2.0%
RoE	10.1%	12.9%	11.0%	7.5%	6.6%	14.0%	14.7%

P/E	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25E
PAT of TVS Credit	89	148	151	97	121	389	571	744
% Holding	84.94%	85.90%	84.54%	85.09%	84.24%	86.11%	80.97%	80.97%
PAT to TVS Motor	76	127	127	83	102	335	462	602
Assigned P/E (Sundaram Fin Media	15.0	15.0	15.0	15.0	15.0	15.0	15.0	15.0
Mcap of Lending Book	1138	1911	1909	1238	1529	5025	6935	9036

P/B	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Book Value of TVS Credit	750	989	1160	1104	1536	2385	3141	3612
Assigned P/B (Sundaram Fin Media	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5
Mcap of Lending Book	1876	2472	2900	2760	3840	5963	7853	9030

- TVS CS is the retail finance arm of the Company for financing of two wheelers, used cars, used and new tractors, used commercial vehicles, consumer durables, digital finance products, emerging and corporate business loans and personal loans. It primarily caters to self-employed, new to credit borrowers in the semi-urban and rural areas in India.
- Considering the size of the book, and slowing down of the growth in the 9MFY25, we have assigned 2.5 PBV (15% discount to Sundaram's median of 3) and 15 PE (30% discount to Sundaram's median of 22).
- TTM Mcap of TVS CS attributable to TVS Motors comes to 9,000 crore.
- The book size of TVS CS registered a growth of 26% and is at 25,900 crore at the end of FY24.

TVS Motors (Financial Services) INR cr	9MFY24	9MFY25	YoY	
Revenue	4297	4981	16%	
EBIT	584	745	28%	
Post tax EBIT (25% tax rate)	438	558.8		
Assets	29014	31779	10%	
Post Tax EBIT/ Avg. Assets		1.8%		
AUM Mix (INR cr)	FY23	FY24	Mix	YoY
2W	5556	6970	27%	25%
Used Cars	1806	2132	8%	18%
Consumer Durable	1338	2734	11%	104%
Personal	3587	4802	19%	34%
New Tractor	3356	2798	11%	-17%
Used Tractor	2047	2685	10%	31%
Used CV	2236	3219	12%	44%
Others (Balancing fig)	676	560	2%	-17%
Total AUM	20602	25900		26%
Gross carrying value of Loans	FY23	FY24		
Stage 1 (upto 30D)	19692	24358		
Stage 2 (31-90D)	990	1306		
Stage 3 (>90D)	574	743		
Total	21256	26407		
Gross carrying value of Loans	FY23	FY24	% of AUM	
Performing Assets				
Stage 1	19640	24276	93.73%	96.92%
Stage 2	705	825	3.19%	
NPA				
Stage 1	52	71	0.27%	
Stage 2	284	427	1.65%	
Stage 3	425	565	2.18%	

SOTP SA Valuation (Conservative)– Based on TVS Credit

P/E	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25E
PAT of TVS Credit	89	148	151	97	121	389	571	744
% Holding	84.94%	85.90%	84.54%	85.09%	84.24%	86.11%	80.97%	80.97%
PAT to TVS Motor	76	127	127	83	102	335	462	602
Assigned P/E (Sundaram Fin Media	15.0	15.0	15.0	15.0	15.0	15.0	15.0	15.0
Mcap of Lending Book	1138	1911	1909	1238	1529	5025	6935	9036
FY Ending Mcap Consol	29422	22372	14136	27795	29724	51176	102232	102232
Standalone PAT	663	670	614	612	924	1491	1990	1990
Mcap for TVS Standalone	28284	20461	12228	26557	28195	46152	95297	93195
Implied Standalone P/E	42.7	30.5	19.9	43.4	30.5	31.0	47.9	46.8
P/B	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Book Value of TVS Credit	750	989	1160	1104	1536	2385	3141	3612
Assigned P/B (Sundaram Fin Media	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5
Mcap of Lending Book	1876	2472	2900	2760	3840	5963	7853	9030
FY Ending Mcap	29422	22372	14136	27795	29724	51176	102232	114443
Standalone PAT	662.59	670.14	614.24	612.04	923.72	1,491	1,990	2,553
Mcap for TVS Standalone	27546	19900	11236	25035	25884	45214	94379	105413
Implied Standalone P/E	41.6	29.7	18.3	40.9	28.0	30.3	47.4	41.3

Standalone Mcap	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
TVS-PE	28284	20461	12228	26557	28195	46152	95297	93195
TVS-PB	27546	19900	11236	25035	25884	45214	94379	105413
Average SA Mcap	27915	20181	11732	25796	27039	45683	94838	99304
Debt	1,189	1,400	2,132	1,230	1,963	2,663	1,964	1555
Cash	11	44	419	930	401	242	531	860
Net Debt	1,178	1,356	1,713	300	1,562	2,421	1,433	695
Average SA EV	29093	21537	13445	26096	28601	48104	96271	99999
Sales SA	15,175	18,210	16,423	16,751	20,791	26,378	31,776	35,918
Mcap/Sales SA	1.8	1.1	0.7	1.5	1.3	1.7	3.0	2.8
EBITDA SA	1,175	1,435	1,346	1,430	1,962	2,675	3,514	4,238
EV/EBITDA SA	24.8	15.0	10.0	18.2	14.6	18.0	27.4	23.6

	Average Multiples	
TVS Standalone	FY18-25	FY22-25
PE (Based on 15 PE TVS CS)	36.6	39.1
PE (Based on 2.5 P/B TVS CS)	34.7	36.8
Mcap/Sales	1.7	2.2
EV/EBITDA	18.9	20.9

- Ignoring other subsidiaries and assuming the above mentioned valuations of TVS CS, Implied 8Y Mean PE of standalone comes to 36. Broadly 9% of CMP is attributed to TVS CS.
- Assuming FY22-25 mean to factor in its growing presence in EV, the mean multiples have inflated by 5-10%.
- Based on historical analysis, neither growth nor MS gain seem to be directly correlated to rerating or derating. It is better to go with a conservative approach.
- Trailing 35-38 PE** seems apt for the standalone business, conservatively.

SOTP IRR Valuations – IRR (Assuming 8Y Average Implied PE)

TVSM (Standalone, INR Cr)	FY2021	FY2022	FY2023	FY2024	FY2025E	FY2026E	FY2027E
Revenue	16751	20791	26378	31776	35997	41286	46540
% Change YoY		24%	27%	20%	13%	15%	13%
EBITDA	1429	1962	2675	3514	4271	5160	6006
% Change YoY		37%	36%	31%	22%	21%	16%
% EBITDA Margin	8.5%	9.4%	10.1%	11.1%	11.9%	12.5%	12.9%
PAT	612	924	1491	1990	2598	3259	3874
% Change YoY		51%	61%	33%	31%	25%	19%
% PAT Margin	3.7%	4.4%	5.7%	6.3%	7.2%	7.9%	8.3%
Diluted EPS	12.9	18.8	31.4	43.8	54.7	68.6	81.6
% Change YoY		46%	67%	40%	25%	25%	19%
Net Debt	300	1,562	2,421	1,433	695	695	695
Implied Standalone Forward PE					31.5	26.5	

P/S Median	5Y	10Y
Bajaj Auto	3.5	3.4
Hero Motocorp	1.9	1.9

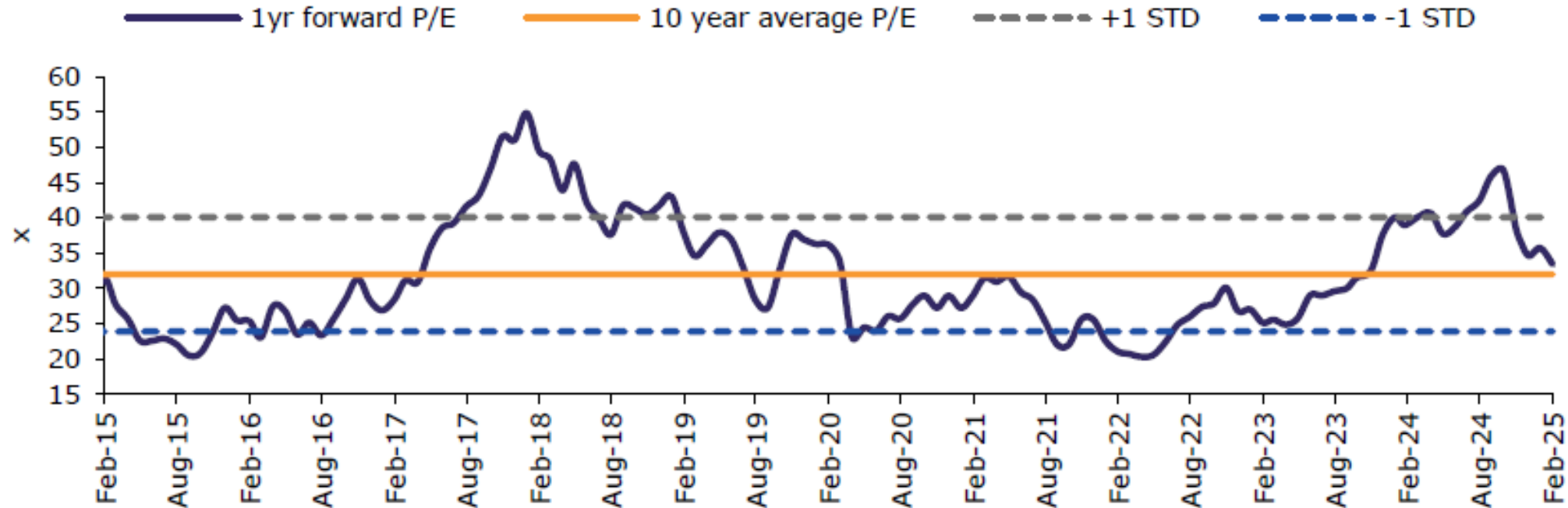
EV/EBITDA Median	5Y	10Y
Bajaj Auto	16.6	14.6
Hero Motocorp	13.0	12.4

SA Mean Framework (8Y, TTM)					FY2025E	FY2026E	FY2027E
Mcap/S					1.9	1.9	1.9
EV/EBITDA					18.9	18.9	18.9
P/E					36.6	36.6	36.6

Implied IRR					FY2025E	FY2026E	FY2027E	20% Buy FY27
Mcap/S						-21.7%	-6.8%	1468
EV/EBITDA						-5.1%	4.6%	1820
P/E						14.7%	16.7%	2234

- TVS Motor has improving margin trajectory along with market share gain in Exports, Scooters and Overall 2W market. Leaders – Hero and Honda have been losing market share. Bajaj Auto has maintained its market share in overall 2W industry and is a joint leader with TVS on EV 2Ws.
- Assuming 36-37 PE for standalone TVS FY25E PAT, Implied FY25E P/S comes to 2.6 and FY25E EV/EBITDA comes to 22.4. As margins have further room to expand, implied P/S means a 30-35% premium to Hero and 24% discount to Bajaj Auto, which seems fair.
- Hero is at 14% EBITDAM while Bajaj Auto is at 18-20% EBITDAM. Hence, 22.4 EV/EBITDA looks expensive and 19 seems like a bull case which is 20% premium to Bajaj Auto's 5Y median itself.
- It is important to note that the company has been improving margins over the last 5 years and stock seems to have rerated accordingly in all three valuations parameters.
- 1800-1900 looks like a good range to add.

Valuations: 1Y Forward PE band chart



Source: Bloomberg, Emkay Research

- At CMP, we are close to 1Y forward P/E mean and hence, IRR depends on earnings performance more than rerating.
- Based on 1SD below multiple of 25, 1950 is the target price.

Peer Comps

		25-02-2025	25-02-2025	Sales				EBITDA				EPS				
Company (INR cr)	Source	CMP	EV	FY25	FY26	FY27	CAGR	FY25	FY26	FY27	CAGR	FY25	FY26	FY27	CAGR	PEG FY27
TVS Motor (SA)	BBG	2260	112815	35997	41286	46540	13.7%	4271	5160	6006	18.6%	54.7	68.6	81.6	22.1%	1.3
Hero (SA)	BBG	3816	76613	41163	45128	49037	9.1%	5936	6560	7167	9.9%	232.3	254.3	279.1	9.6%	1.4
Bajaj Auto (SA)	BBG	8431	2,39,129	50882	58196	66015	13.9%	10271	11883	13514	14.7%	302.1	350.8	396.3	14.5%	1.5
Eicher	BBG	4993	1,37,079	18574	20990	23392	12.2%	4766	5449	6150	13.6%	164.6	185.4	209.9	12.9%	1.8
Maruti (SA)	BBG	12455	3,89,652	152211	169674	189189	11.5%	18420	20806	23360	12.6%	462.4	523.5	581.4	12.1%	1.8
TAMO	BBG	662	3,20,784	447588	477928	517638	7.5%	59940	65191	72077	9.7%	59	67.4	77.5	14.6%	0.6
Hyundai	BBG	1824	1,40,873	69335	76200	85180	10.8%	8716	9776	11124	13.0%	67.4	75.1	85.9	12.9%	1.6
M&M (SA)	BBG	2780	4,46,256	114892	132235	148970	13.9%	16702	19117	21603	13.7%	101.9	117.7	132.7	14.1%	1.5

		25-02-2025	25-02-2025	P/E		EV/EBITDA		EV/Sales	
Company (INR cr)	Source	CMP	EV	FY26	FY27	FY26	FY27	FY26	FY27
TVS Motor (SA)	BBG	2260	112815	32.9	27.7	21.9	18.8	2.7	2.4
Hero (SA)	BBG	3816	76613	15.0	13.7	11.7	10.7	1.7	1.6
Bajaj Auto (SA)	BBG	8431	2,39,129	24.0	21.3	20.1	17.7	4.1	3.6
Eicher	BBG	4993	1,37,079	26.9	23.8	25.2	22.3	6.5	5.9
Maruti (SA)	BBG	12455	3,89,652	23.8	21.4	18.7	16.7	2.3	2.1
TAMO	BBG	662	3,20,784	9.8	8.5	4.9	4.5	0.7	0.6
Hyundai	BBG	1824	1,40,873	24.3	21.2	14.4	12.7	1.8	1.7
M&M (SA)	BBG	2780	4,46,256	23.6	20.9	23.3	20.7	3.4	3.0

- TVS is the fastest growing company across Sales, EBITDA and PAT growth. Closest comp, Bajaj Auto, is supposed to grow at 15%.
- It is the cheapest on PEG basis among 2WS and second cheapest considering the entire sample.

Q4FY25 Growth Estimates

TVS MOTOR COMPANY LTD									SCREENER.IN		
Narration	Sep-22	Dec-22	Mar-23	Jun-23	Sep-23	Dec-23	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25
Sales	7,219	6,545	6,605	7,218	8,145	8,245	8,169	8,376	9,228	9,097	9,097
Expenses	6,483	5,886	5,925	6,454	7,245	7,321	7,243	7,415	8,148	8,016	
Operating Profit	737	659	680	764	900	924	926	960	1,080	1,081	1,181
Other Income	1	6	71	58	46	73	-29	36	30	-23	18
Depreciation	154	158	167	164	170	178	189	176	181	188	188
Interest	35	32	36	47	52	45	37	37	32	34	34
Profit before tax	549	475	547	610	724	775	672	783	897	837	977
Tax	142	123	136	143	187	182	186	206	235	218	
Net profit	407	353	410	468	537	593	485	577	663	618	733
OPM	10.2%	10.1%	10.3%	10.6%	11.0%	11.2%	11.3%	11.5%	11.7%	11.9%	13.0%
Growth											
Sales					12.8%	26.0%	23.7%	16.0%	13.3%	10.3%	11.4%
Operating Profit					22.2%	40.3%	36.3%	25.7%	20.0%	17.0%	27.6%
Net profit					31.7%	68.2%	18.3%	23.4%	23.5%	4.2%	51.0%

PLI of 100 cr per Quarter based on reasonable estimates. Assumed the same number at EBITDA level in Q4.

Subsidiary losses: Norton and Swiss E-Mobility

TVSMOTORS								
Sales	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
Standalone	12,135	15,175	18,210	16,423	16,751	20,791	26,378	31,776
Consol	12,463	16,340	20,160	18,849	19,421	24,355	31,974	39,145
EBITDA	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
Standalone	859	1,175	1,435	1,346	1,430	1,962	2,675	3,514
Consol	871	1,571	2,163	2,264	2,232	2,755	4,027	5,500
PAT	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
Standalone	558	663	670	592	612	894	1,491	2,083
Consol	511	652	705	625	594	757	1,329	1,686
Subsidiaries	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
Sales	328	1,165	1,950	2,426	2,670	3,564	5,596	7,369
EBITDA	12	396	728	918	802	793	1,352	1,986
PAT	-47	-11	35	33	-18	-137	-162	-397
TVS Credit	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
Sales					2238	2747	4156	5791
EBIT					105	148	571	758
PBT					105	151	512	763
PAT					97	120	389	571
Subsidiaries ex-TVS Credit	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
Sales					432	817	1,440	1,578
PAT					-115	-257	-551	-968
Subsidiaries ex-(TVS Credit + SAC)								
Sales							660	814
PAT							-567	-987
Norton PAT							-277	-394
Swiss PAT							-91	-224
Share Of P/L in JV/Associates (loss)					-8	2	-41	-44
Minority (Profit)					-13	-26	19	-92

	FY24 Consol Mix	
Subsidiaries	Sales Mix	PAT Mix
Overall (India + Foreign)	19%	-24%
TVS Credit	15%	34%
SAC	2%	1%
Others	2%	-59%

- 2/3rd of Loss in other subsidiaries (Ex of TVS Credit and SAC) are driven by Swiss E-Mobility and Norton over the last two years.
- Foreign subsidiaries are major loss makers. TVS Credit would be the only material Indian subsidiary left post Sundaram Auto Components' (SAC) sale to Pricol recently.

Appendix

Norton Acquisition : Not a big Optionality

Norton Motorcycles has experienced a tumultuous history of ownership changes, marked by financial struggles and attempts at revitalization. Here's a chronological overview of its ownership transitions:

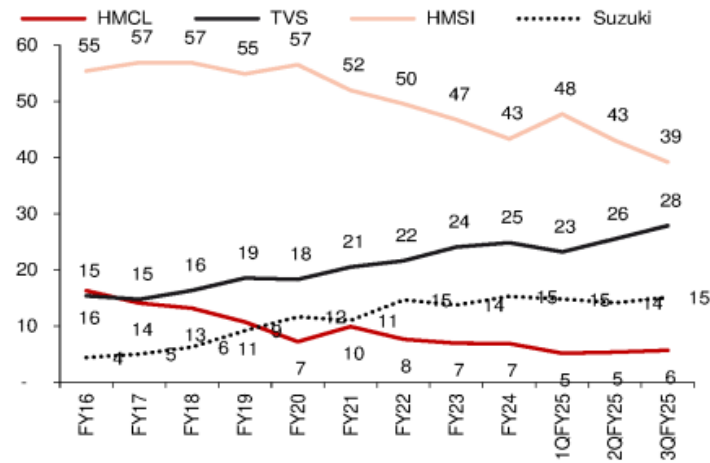
- **Early Years:** Founded in 1898 by James Norton, the company initially focused on manufacturing fittings and parts for motorcycles.
- **1913:** Facing financial difficulties, James Norton partnered with R.T. Shelly to form Norton Motors Limited, which helped stabilize the company.
- **1953:** Norton was sold to **Associated Motor Cycles (AMC)**, which owned several other British motorcycle brands. However, AMC faced insolvency in 1966 and was restructured as **Norton-Villiers**.
- **1970s:** The UK government intervened during financial crises affecting several British motorcycle manufacturers, leading to the formation of **Norton-Villiers-Triumph**. This venture ultimately failed.
- **1993:** The brand was acquired by **Wildrose Ventures**, a Canadian company, but ownership changed again within a year to **Aquilini Investments** due to ongoing financial issues.
- **2008:** UK businessman **Stuart Garner** purchased Norton and aimed to revive the brand by establishing a new factory in Donington Park. Despite initial success, Garner's management faced scrutiny and legal challenges.
- **2020:** Following financial difficulties that led to administration, Norton went into liquidation in January 2020. In April 2020, it was acquired by **TVS Motor Company**, an Indian manufacturer, marking a new chapter for the brand with plans for revitalization and expansion.

SWISS E-Mobility: E-Cycle Optionality

Swiss E-Mobility Group AG (SEMG) is a provider of e-mobility solutions within the DACH region ² ⁴. Here is a brief history:

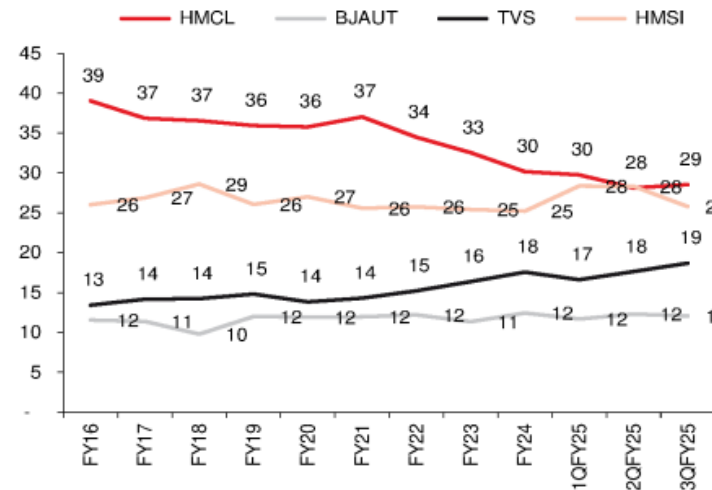
- **Inception and Growth:** SEMG was established in 2018 as part of the CONSTELLATION V fund, with CONSTELLATION CAPITAL AG as advisor ² ⁶. Since then, SEMG has grown by acquiring various companies in the e-mobility sector ².
- **Acquisition of M-way:** In 2020, SEMG acquired M-way, Switzerland's largest e-bike retailer, previously a subsidiary of Swiss retail giant Migros, and merged it with bicycle wholesaler Colag ⁴. The acquisition of M-way presented SEMG with the challenge of integrating a complex branch operation that had its own data center ⁴.
- **IT Environment:** With the support of Microsoft partner Swiss IT Professional AG, SEMG migrated all systems and servers to the Azure cloud ⁴. The new environment is fully scalable, cost-effective, and provides the ideal conditions for flexible growth. With Azure Kubernetes Services, it was also possible to create an omnichannel platform covering all channels ⁴.
- **Acquisition by TVS Motor Company:** In January 2022, TVS Motor Company acquired a 75% stake in SEMG ² ³. SEMG complements TVS Motors' acquisitions of Norton Motorcycles and EGO Movement ³. The acquisition will help strengthen the firm's commitment to environmental sustainability ³.
- **Brands:** SEMG has a portfolio of Swiss mobility brands, including Cilo, Simpel, Allegro, and Zenith ².
- **E-bike market:** The e-market for e-bicycles holds significant growth potential in Europe as the total bicycle population is growing at a CAGR of approximately 18 percent ³.

Fig. 6: Scooter market share trend



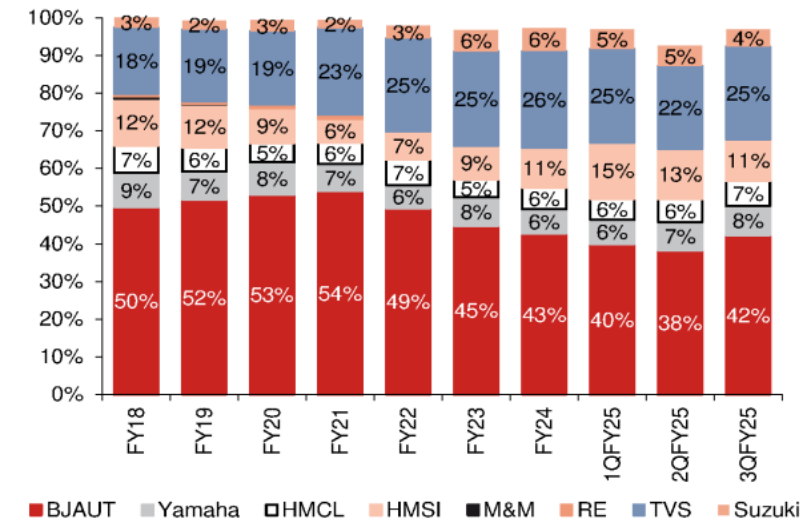
Source: SIAM, Nomura research

Fig. 7: 2W market share trend (%)



Source: SIAM, Nomura research

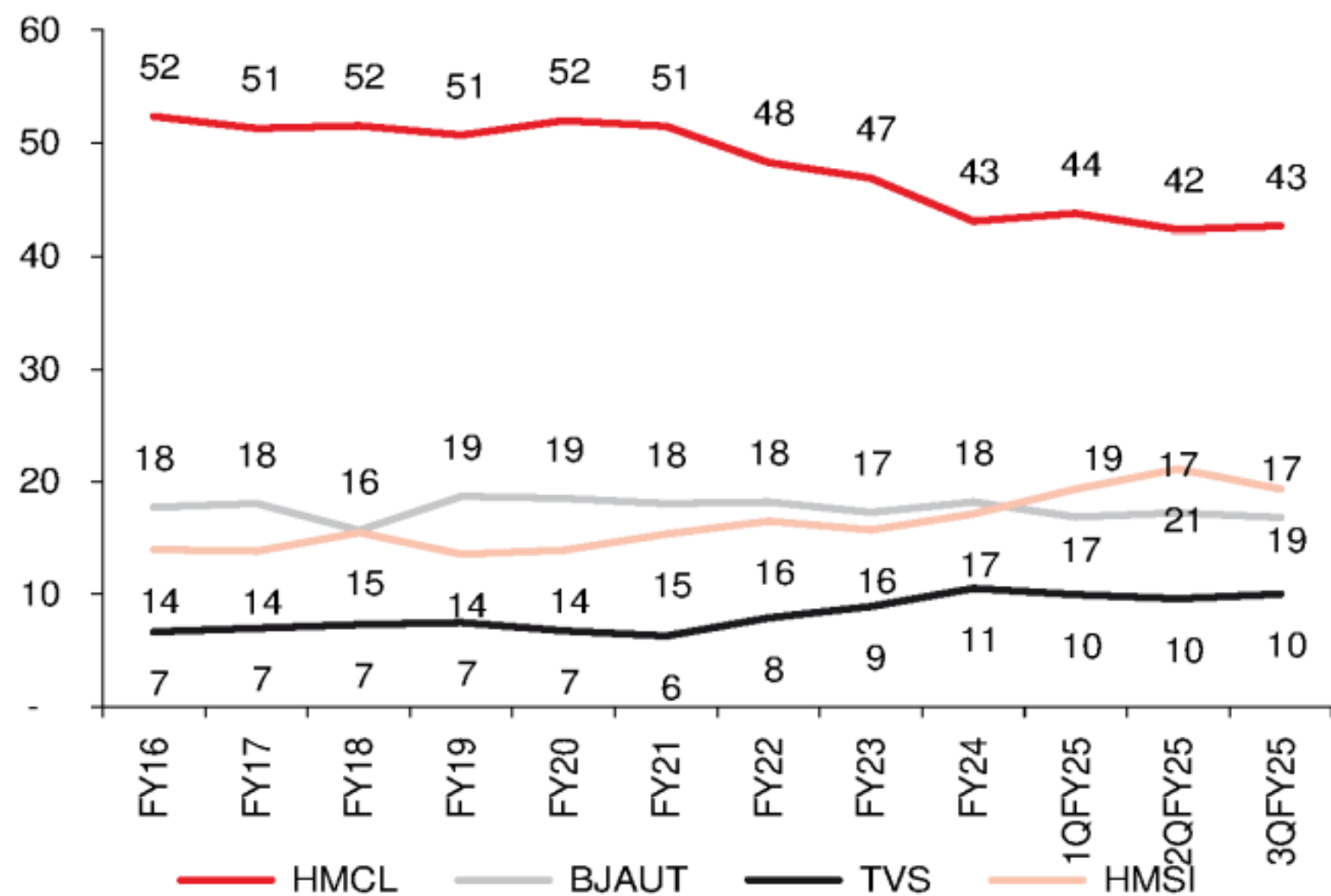
Fig. 9: India 2W exports mix



Source: SIAM, Nomura research

SIAM- 2 Wheeler	FY10	FY11	FY12	FY13	FY14	FY15	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY10-24	FY14-24	FY19-24
Production	1,05,12,903	1,33,49,349	1,54,27,532	1,57,44,156	1,68,83,049	1,84,89,311	1,88,30,227	1,99,33,739	2,31,54,838	2,44,99,777	2,10,32,927	1,83,49,941	1,78,21,111	1,94,59,009	2,14,68,527	5.2%	2.4%	-2.6%
Domestic Wholesale	93,72,845	1,18,17,730	1,34,52,421	1,37,87,778	1,47,99,049	1,60,31,845	1,63,47,351	1,75,93,462	2,03,39,835	2,12,18,936	1,75,13,522	1,50,67,155	1,33,77,980	1,58,06,887	1,80,10,111	4.8%	2.0%	-3.2%
YoY		26%	14%	2%	7%	8%	2%	8%	16%	4%	-17%	-14%	-11%	18%	14%			
Export	11,40,058	15,31,619	19,75,111	19,56,378	20,84,000	24,57,466	24,82,876	23,40,277	28,15,003	32,80,841	35,19,405	32,82,786	44,43,131	36,52,122	34,58,416	8.2%	5.2%	1.1%
YoY		34%	29%	-1%	7%	18%	1%	-6%	20%	17%	7%	-7%	35%	-18%	-5%			
YoY Export-Domestic		8%	15%	-3%	-1%	10%	-1%	-13%	5%	12%	25%	7%	47%	-36%	-19%	3%	3%	4%

Fig. 3: Domestic motorcycle market share trend (%)



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